Olist marketplace

Growth, Structure and Regional Imbalance

Analysis context

Data source
Olist public dataset

Period
August 2017 – August 2018

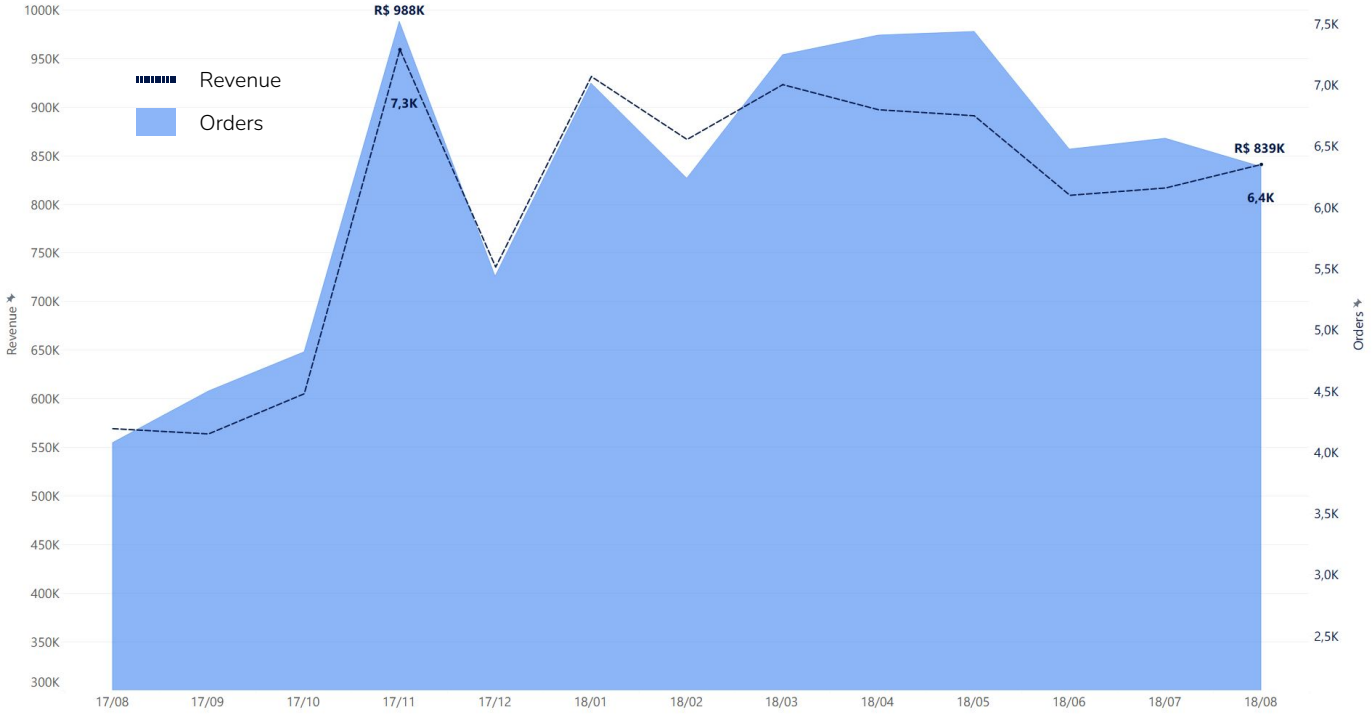
Scope
100k+ orders, 3k+ sellers, 27 Brazilian states

Methodology
HHI concentration analysis, cohort segmentation, geographic market share mapping.

olist

Growth

Marketplace shows consistent growth in demand and revenue.



Peak in **November** driven by Black Friday.

826k

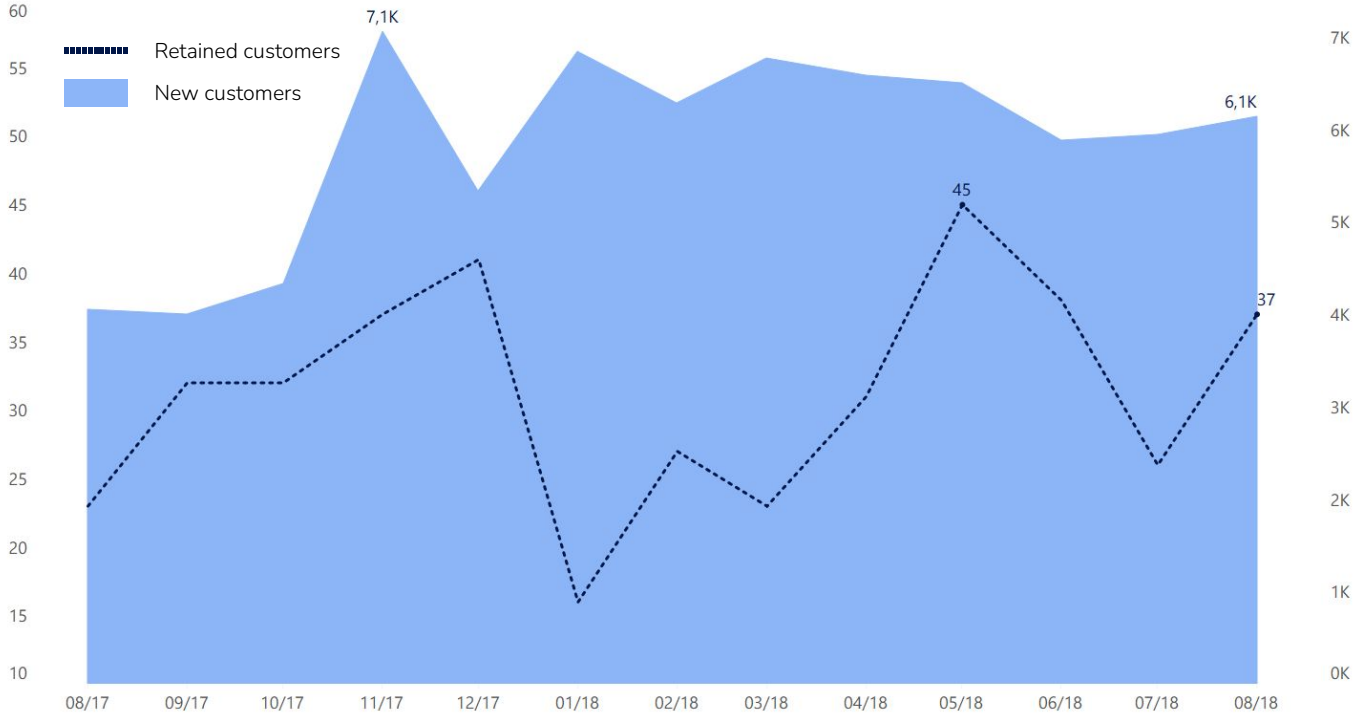
average revenue

6k

average orders

Market expansion

Only **0.5% of customers return**. Growth depends entirely on new demand.



Peak of **New Customers** also seen in **November** on the black friday, but nearly none return.

Retention is the key growth lever **yet to be explored.**

6k

average new customers

31

average customers retained

Market structure

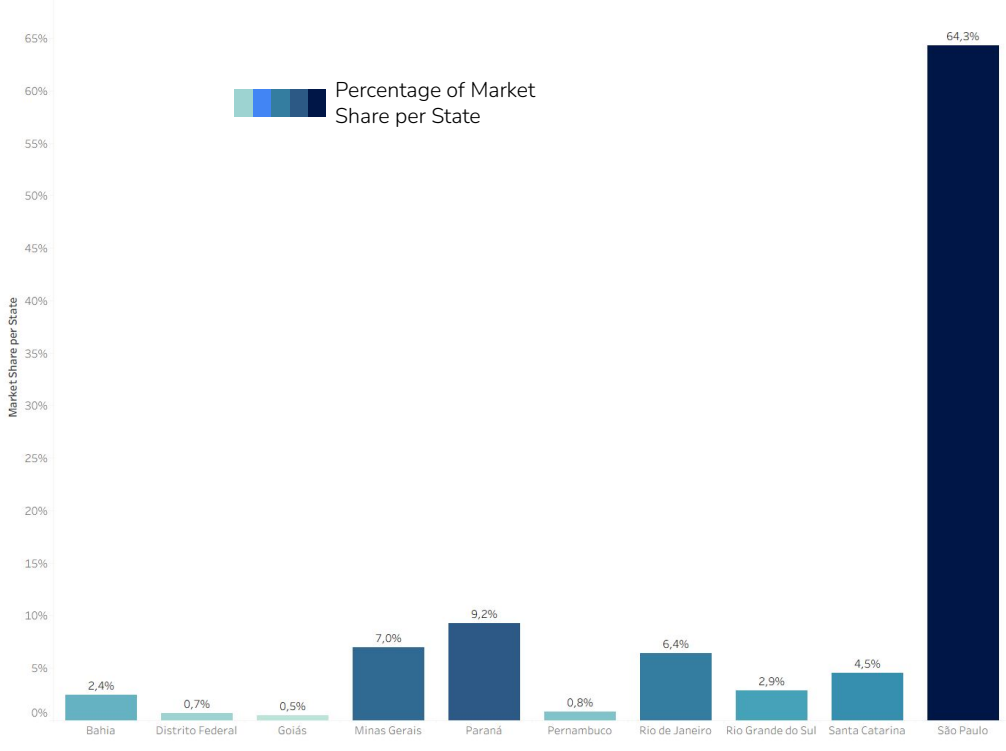
Marketplace is fragmented at seller level but highly concentrated geographically.

Sellers' HHI **39**	Cities' HHI **485**
Categories' HHI **506**	States' HHI **4348**

**Herfindahl-Hirschman Index (HHI): a standard economics measure of market concentration. Above 2,500 = highly concentrated.*

Geographic concentration

Activity is heavily concentrated in few states, especially São Paulo.



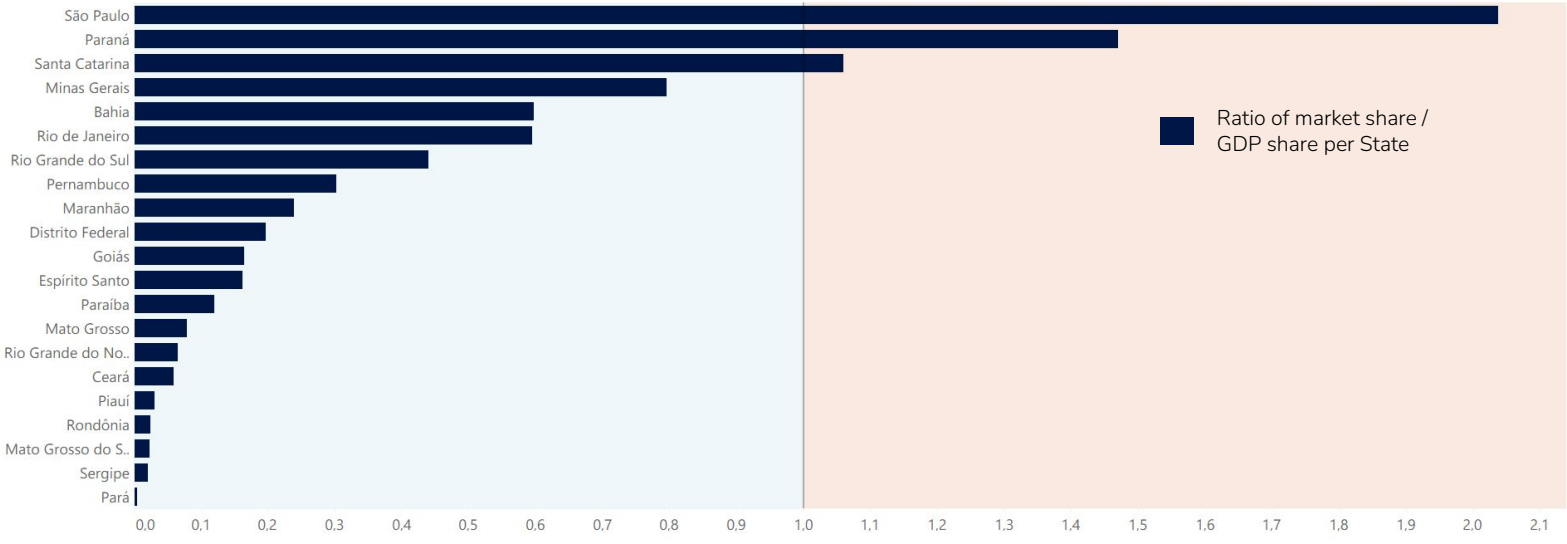
Sao Paulo highly concentrates the market with over 60% market share.

Minas Gerais, Paraná and Rio de Janeiro have each over 6%.

No other state reaches comparable level.

Regional imbalance

Marketplace overrepresents developed regions and underpenetrates others.

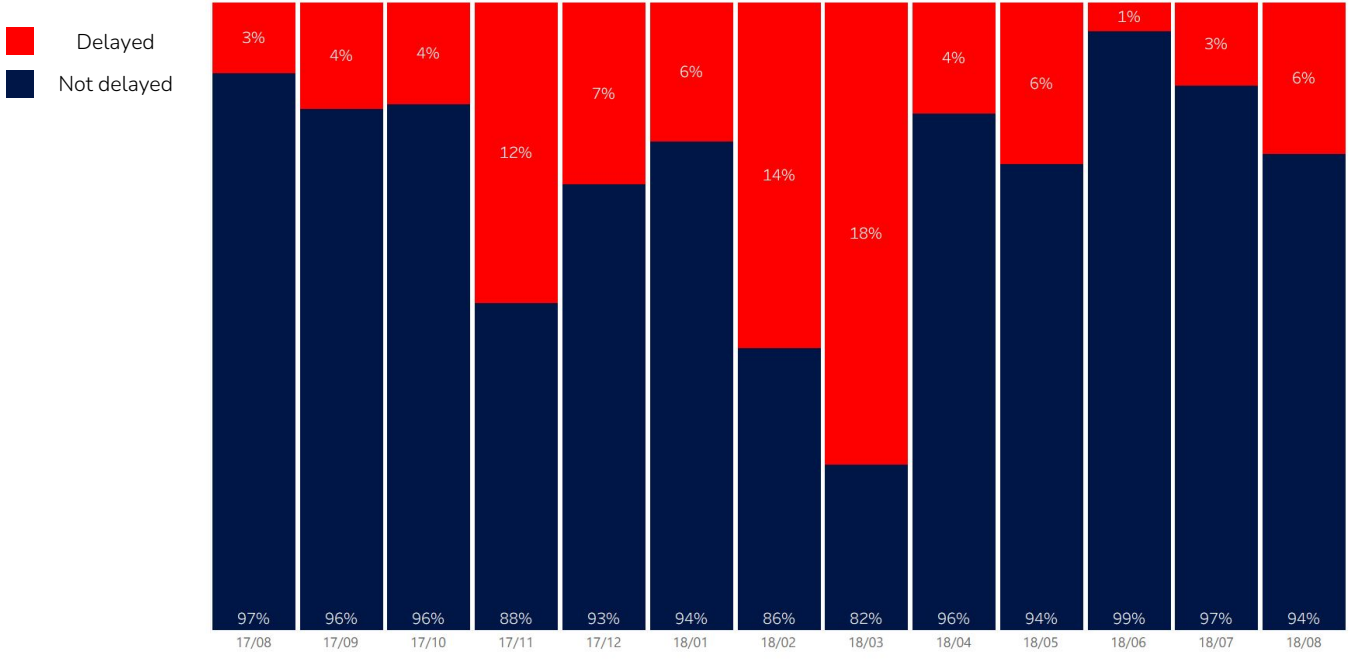


São Paulo, Paraná and **Santa Catarina** are overrepresented relative to GDP.

States like Rio de Janeiro, Minas Gerais and Bahia show significant GDP-to-market share gaps, pointing to untapped demand.

Operations

Delivery is mostly reliable but shows periods of operational stress.



Peak of delays reached in **March 2018** with **18%**.

93.12%

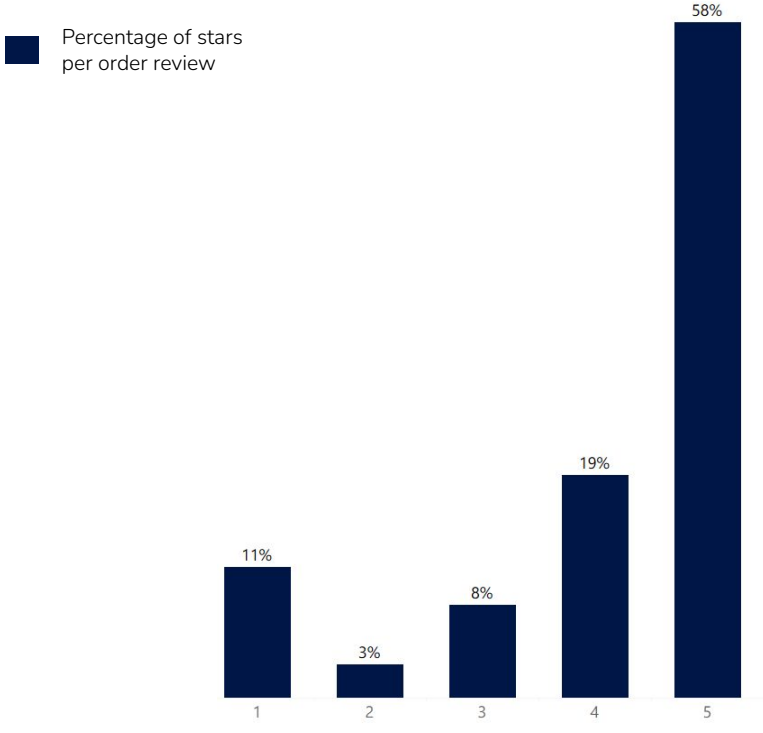
average of not delayed orders monthly

6.88%

average of delayed orders monthly

Customer experience

Delivery time is the strongest driver of customer satisfaction.



77%

between 5 and 4 stars

14%

between 1 and 2 stars.

Regression analysis shows that **each additional day of delivery time reduces review score by 0.05 points.** The strongest predictor of customer satisfaction identified.

Strategic recommendations

- **Market concentration**: geographic concentration in SP (64%) creates single-point risk. **Diversification** is a strategic priority.

- **Expansion targets:** Minas Gerais, Rio de Janeiro and Rio Grande do Sul represent the **highest-ROI expansion targets** based on GDP gap analysis.

- **Customer retention rate**: near-zero retention rate (0.5%) signals an untapped lever. **Loyalty programs** could significantly reduce CAC.

- **Logistics drives satisfaction:** regression analysis identifies delivery time as the strongest predictor of review score. **Faster delivery = higher ratings = stronger retention**.